BK Group Investor Presentation

For the first half 2024

Contents

DISCLAIMER

This presentation contains statements that constitute "forward-looking statements", including, but not limited to, statements relating to the implementation of strategic initiatives and other statements relating to our business development and financial performance.

While these forward-looking statements represent our judgments and future expectations concerning the development of our business, a number of risks, uncertainties and other factors could cause actual developments and results to differ materially from our expectations.

These factors include, but are not limited to, (1) general market, macroeconomic, government policies, legislative and regulatory trends, (2) movements in local and international currency exchange rates, interest rates and securities markets, (3) competitive pressures, (4) technological developments, (5) changes in the financial position or credit worthiness of our customers, obligors and counterparties and developments in the markets in which they operate, (6) management changes and changes to the Bank's structure and (7) other key factors that we have indicated could adversely affect our business and financial performance, which are contained elsewhere in this presentation and in our past and future filings and reports, including those filed with the National Bank of Rwanda and the Rwanda Stock Exchange.

We are under no obligation (and expressly disclaim any such obligations to) update or alter our forward-looking statements whether as a result of new information, future events, or otherwise.

BK GROUP PLC

01

Economic Outlook

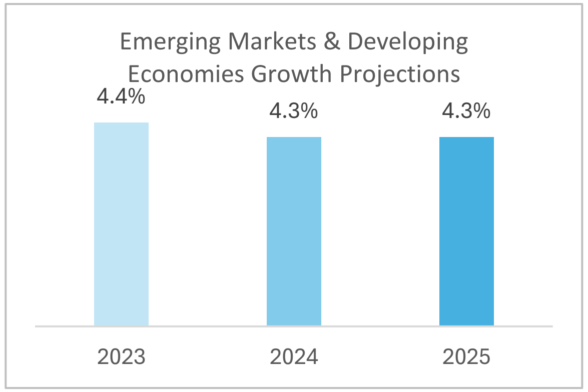
The global market and Rwandan economy

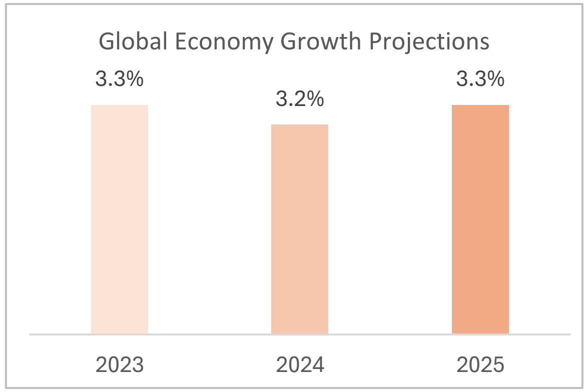
The Global Market

The Global Economy in a sticky spot

Global growth is projected to be in line with the April 2024 World Economic Outlook forecast, at **3.2 %** in 2024 and **3.3 %** in 2025.

- Services price inflation is holding up progress on disinflation, which is complicating monetary policy normalization.
- Upside risks to inflation have thus increased, raising the prospect of higher-for-even-longer interest rates, in the context of escalating trade tensions and increased policy uncertainty.





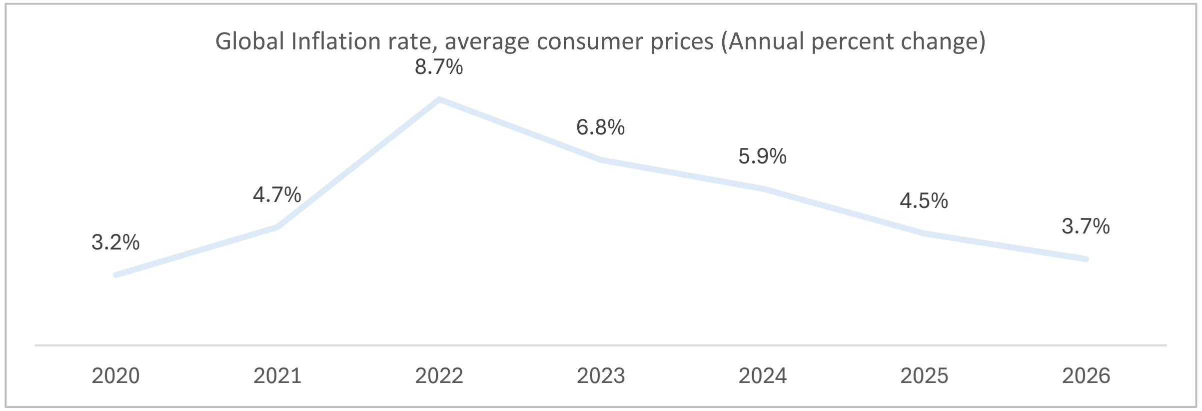
Geopolitical Tension

Middle East Conflict (Israel-Palestine)

The ongoing conflict in the Middle East, particularly the recent escalation in Israel and Palestine, has significant implications for global oil markets. Any disruption in oil supply from this region could lead to a spike in energy prices, which in turn could cause inflationary pressures worldwide.

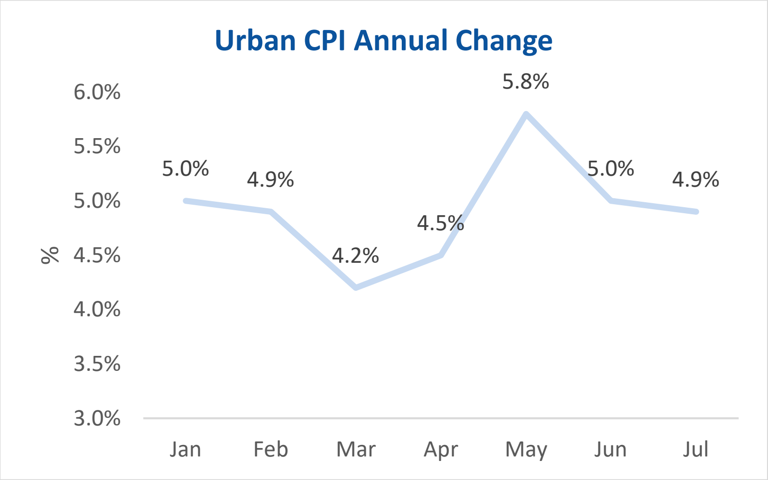
Eastern Europe (Ukraine- Russia war)

The war in Ukraine continues to disrupt global supply chains, especially in food and energy. Ukraine and Russia are major exporters of grain and energy, and the conflict has caused volatility in global commodity markets.



Sources: IMF, World Economic Forum

The Rwandan Economy remains resilient

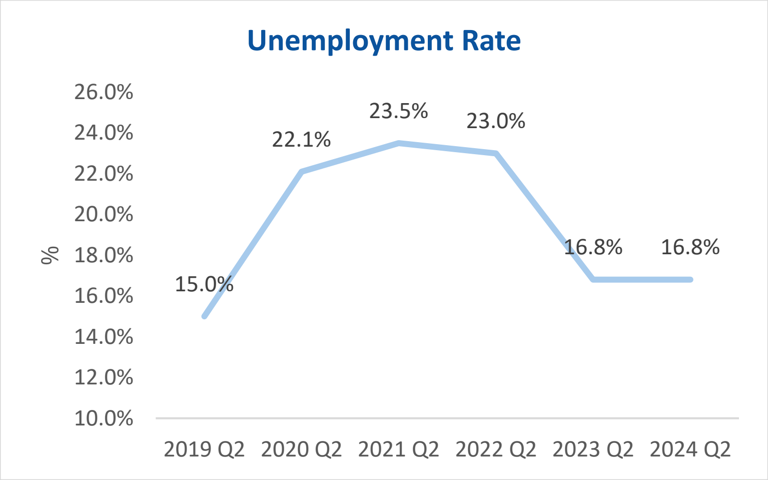


Rwanda's Consumer Price Index(CPI) main gauge of **inflation** increased by **4.9% YoY** in July 2024 down from 5% in June 2024.

Outlook

For 2024 and 2025,

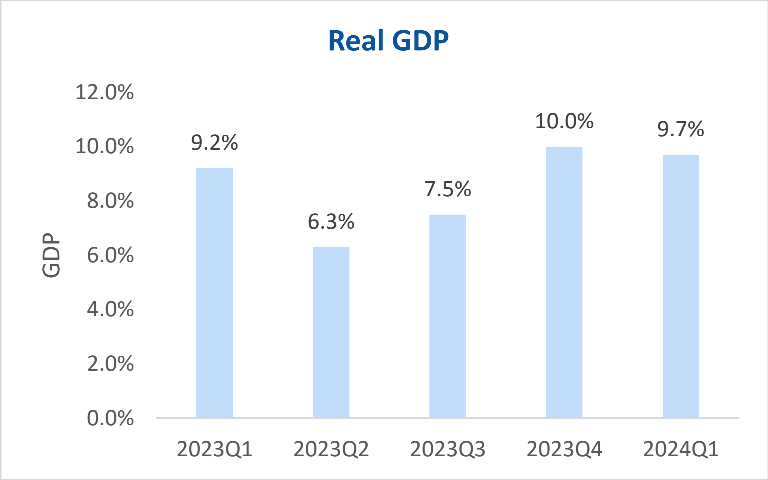
- headline inflation is projected to remain close to **5.0%** due to easing food inflation as domestic agriculture returns to normal levels.
- Core inflation is expected to increase in 2024, driven by import costs, but anticipated to decrease in Q2 2025.
- Energy inflation is likely to lightly increase in 2024 in line with international oil price projections



The overall unemployment rate in May 2024 was **16.8%,** showing little change from the previous year. This rate was higher among females **19.8%** compared to males **14.1%** and more pronounced among the youth **20.5%** than adults **14.1%.**

Rural areas experienced a higher unemployment rate **17.3%** than urban areas **15.7%.**

Labor underutilization, which includes unemployment, time-related underemployment, and potential labor force, was estimated at **53.9%.**



In 2024 Q1, **GDP growth was 9.7%.** Sector performed as follows;

- Agriculture increased by 7%
- Industry increased by 10%
- Services increased by 11%

Main economic drivers;

- Tourism
- Trade
- Telecommunication
- Manufacturing
- Construction

Sources: BNR, NISR, AFR 2024, RBA 2024

The Rwandan banking system is well regulated

The Monetary Policy Committee **reduced the CBR rate by 50 basis points** based on the current inflation forecast that's expected to be manageable around 5% over policy horizon.

CBR Rate

6.5%

Q2 2024

The interbank rate decreased to an average **8.14%** in Q2 2024 down 15 basis points from 8.29% in Q1 2024. This reduction follows a cut in CBR rate.

Trade deficit has expanded by 9.5% Q2 2024

- Rwanda merchandise export increased by 0.9% Q2 2024 due weak coffee performance and declining global commodity pricing and seasonal factors.
- Merchandise imports increased by **6.4%** largely driven by strong demand for core food items, energy products and some capital goods.

As of August 2024, the exchange rate for the **RWF against US dollar** stands at approximately **1 USD = 1,318.85 and 1,321.3 USD,** showing slight volatility. The Rwandan Franc had depreciated by **3.70%** against the US dollar.

Fiscal Stability Ratios

Total assets in financial sector ↑**20.8%** to **FRW 11.641B.**

The Solvency ratio of private Insurance improved to **269%** in June 2024 from 256% in June 2023.

In the banking sector, total assets grew by **21.2%** driven primarily by growth in deposits and capital.

Outstanding loans by banks increased by **16%**.

The aggregated total Capital Adequacy Ratio stood at **21.5%** and **30.5%** for banks and Microfinance, respectively.

The net outstanding loans of The bank are representing **52%** of the sectors total assets at end June 2024.

Credit risk in banks remains at a benchmark of **5%**.

New authorized loans grew by **25%** in 1H 2024.

Sources: BNR, NISR, AFR 2024, RBA 2024

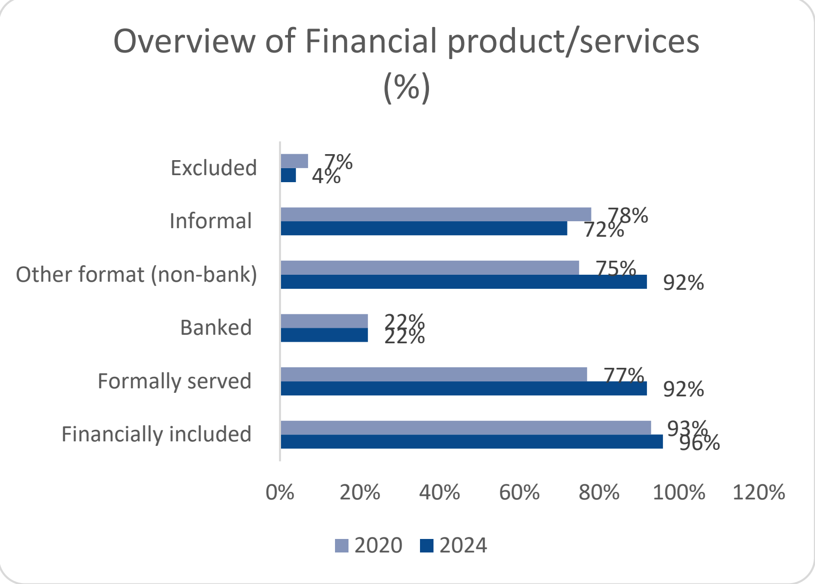
FinScope Survey 2024

96% (7.8 million)

financially included up from 93% in 2020, getting closer to the universal access of 100% set target.

5th Ranking financial inclusion by banked population, Rwanda ranks fifth, with South Africa ranking first at 84%.

Financial Inclusion overview



Drivers of the banking sector;

There has been an increase in people with bank accounts from 1.6 million to 1.8 million.

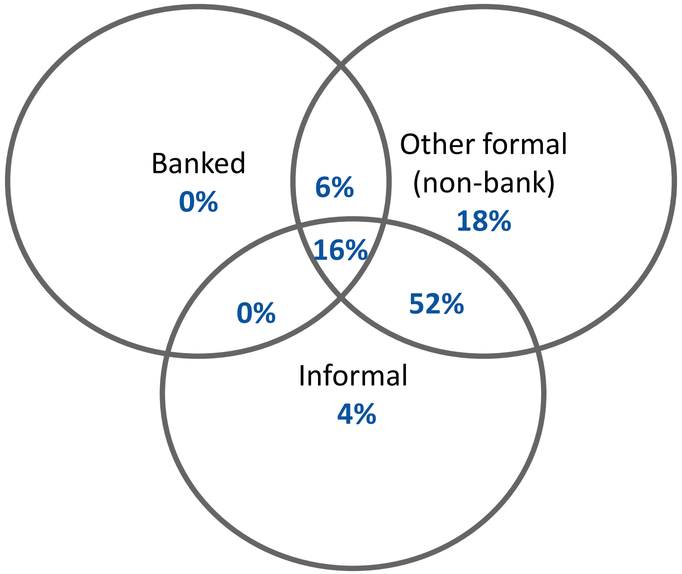
Drivers of other formal (non-bank) products and services;

- Mobile money: has been the main driver, 86% of adults use mobile money in 2024.
- Insurance: the number of Rwandans insured has doubled to 27% from 7%
- Pension: the uptake of pension products has doubled to 26% from 7%.

Drivers of informal products/services

There has been a drop in the proportion of adults using informal mechanisms from 78% in 2020 to 72% in 2024 driven by the reduced utilization of shop credit.

Figure 1: Financial Inclusion overlaps



Around 22% (1.8 million people) of Rwandans are banked or have bank accounts in their name. The percentage of adults who are not banked but use non-bank formal financial services increased significantly to 70% (5.7million) in 2024 from 55% (3.8 million) in 2020, driven largely by mobile money usage.

Sources: AFR 2024

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02

Group Overview

Our strategic objectives, Values and Subsidiaries

BK Group’s 5 Key Strategic Objectives

Establish an Innovative Culture and Become an Employer of Choice.	Maintain an Assertive Customer-Oriented Sales Forces.	Base Every Decision on Customer Data.	Automate Process for International And External Efficiency	Anticipate User-Driven Demand for Innovation and Customized Offering

Vision

- ✓ **Transform the lives** of our **stakeholders** by offering **state-of-the art**, **customer-centric** financial services

Mission

- ✓ **Delight our customers** via **deep knowledge** of our **region,** cultivating **engaged talent** , and **ground-breaking** innovation.

Values

- ✓ **Customer Focus**
- ✓ **Integrity**
- ✓ **Quality**
- ✓ **Excellence**

Our Values – Ubudasa

We make innovation and execution integral to everyone's role, embodying or Ubudasa DRIVE Values in every aspect of our operations.

D

Devoted to nurturing our people

R

Redefining the status quo

I

Inspired by our customers

V

Viewing success through the lens of the organisation

E

Empowered and responsible

BK Group PLC's Diversified Business

BK GROUP PLC

TECHOUSE
POWERING INNOVATION

- Technology
- Connectivity
- Automation
- Advanced analytics
- Innovative digital solutions

Foundation

- Environmental conservation
- Innovation
- Education

BK Insurance
Safeguarding Your Wealth

- Insurance

Non-life insurance

Capital
making more possible

- Advisory/Wealth Management
- Investment
- Corporate and advisory services
- Bonds and equity brokerage
- Pension fund administration

BANK OF KIGALI
Financially transforming lives

- Commercial & Retail Banking
- SME
- Agriculture

Leading Bank in Rwanda – Awards

Best Bank in Rwanda 2023

Euromoney Award for Excellence 2024

AA/A1+ Credit Rating

Best Bank Rwanda by The Banker Award

BK GROUP PLC

03

BK Group Financial Results

For the first half 2024

BK Group achieved a commendable net income of **FRW 47.8 billion** in 1H 2024

CONSOLIDATED RESULTS - REVIEWED FINANCIALS

	1H2024			Change
	FRW (bn)	US$ (mln)	KES (bn)	Y-o-Y
Total Operating Income (Revenue)	126.6	*96.5*	12.5	*18.9%*
Total Recurring Operating Costs	46.4	*35.4*	4.6	*10.4%*
Pre-Provision Operating Profit	80.2	*61.2*	7.9	*24.5%*
Net Income	47.8	*36.5*	4.7	*29.5%*

	Q2 2024			Change
	FRW (bn)	US$ (mln)	KES (bn)	Q-o-Q
Total Operating Income (Revenue)	61.6	*47.0*	6.1	*(5.3%)*
Total Recurring Operating Costs	22.4	*17.1*	2.2	*(6.7%)*
Pre-Provision Operating Profit	39.2	*29.9*	3.9	*(4.4%)*
Net Income	23.9	*18.2*	2.4	*0.1%*

	1H2024			Change
	FRW (bn)	US$ (mln)	KES (bn)	YTD
Total Assets	2,333.2	1,779.5	279.6	*10.1%*
Net Loans and Advances	1,418.6	1,082.0	139.8	*14.0%*
Client Balances & Deposits	1,463.7	1,116.4	144.3	*6.5%*
Total Liabilities	1,919.1	1,463.7	230.0	*9.4%*
Shareholders' Equity	414.2	315.9	49.6	*13.0%*

	1H2024	2023	2022	2021	2020	2019
Gross Loans/Total Assets	65.3%	63.0%	65.5%	67.5%	71.1%	71.2%
Gross Loans/Total Deposits	88.9%	85.2%	89.6%	92.6%	100.7%	104.2%
Basic Book Value per share (FRw)	446.2	394.7	347.4	315.5	286.7	244.1
ROAA	4.3%	3.8%	3.5%	3.6%	3.3%	3.9%
ROAE	24.5%	21.8%	19.8%	19.1%	16.0%	18.0%
Basic EPS	103.0	80.6	65.0	57.4	42.6	41.4

The following exchange rates have been used for the translation of the Group's financial statements

	1H2024	2023	2022	2021	2020	2019
FRW/US$ Period End Exchange Rates	1,311.1	1,265.4	1,070.9	1,013.5	977.9	921.5
FRW/KES Period End Exchange Rates	10.1	8.1	8.7	8.9	8.9	9.0

- ✓ **Net interest Income ↑16%** year on year attributed to increase in loans and advances by 14%
- ✓ **Insurance service revenues ↑ 10.0%** year on year, driven by increased earnings from current business and previously unearned premium reserves.
- ✓ **Non-Funded Income ↑24.5%** year on year, supported by strong performance in FX-related income and loan-related fees.
- ✓ **Loans and Advances ↑ 14%** year to date growth is attributable to the enhancement of brand visibility and showcase our expanded products offerings.
- ✓ **Interest expense ↑ 18.9%** y-o-y due to deposit mobilization strategies that have grown term deposits 47.5% y-o-y.
- ✓ **Total Customer Deposit ↑ 6.5%** year to date driven by increase of the Bank's customer base and confidence of existing clients banking with us.

04

Strategy growth

Delivering growth on all fronts

Bank of Kigali Strategy Plan

Bank of Kigali's mission is "Our mission is to be the leader in creating value for our stakeholders by providing the best financial services to businesses and individual customers, through motivated and professional staff."

Vision	Bank of Kigali aspires to be the leading provider of the most innovative financial solutions in the region.				
Overall Aspirations	**Innovative Culture/Employer of choice**	**Customer centric bank/ Product specialist/sales-oriented force**	**Data driven Organization**	**Automation/Operational efficiency**	**Profitability and Diversification**
Themes	Human Capital	Client Relationships	Data-Driven Business	Customer Experience	Capital Efficiency
Theme Aspirations	▪ BK Academy ▪ Culture shift to promote internal innovation. ▪ Competitive compensation practices to attract and retain best talent.	▪ Develop effective sales force. ▪ Leverage key partnerships ▪ Product redesign for all customer segments ▪ Grow BK's digital presence and Brand visibility.	▪ Develop Data Management Office ▪ Implement advanced analytics to increase revenue and market share. ▪ Develop policies to use Data as a corporate asset.	▪ Reduce Churn rate. ▪ Develop top rated digital channels ▪ Automation of bank-wide processes. ▪ Develop key partnerships with Fintech and Telcos.	▪ Drive efficiency and profitability via Fund Transfer Pricing model. ▪ Optimize capital allocation ▪ Implement effective internal controls. ▪ Develop granular profitability reports
Pillars	**People**	**Products/processes/systems**			**Growth**

BK GROUP PLC

BK Insurance Strategy Plan

BKGI is committed to provide innovative, high quality insurance services that add value to shareholders' investments through technology enhanced products and motivated professional staff

Vision

To be a leading provider of innovative, high quality Insurance services.

Overall Aspirations

- **Business Growth. 15% Annual Turn Over. Profitability: 4Bn End 2024.**
- **Efficiency in Cost Management. Expense Ratio of 30%.**
- **Customer Centricity. Become a Wow Company for customers.**
- **Enhance Governance & Controls**

Themes / **Theme Aspirations**

Expanded Growth	Cost Control	Optimized Customer Experience	Operational Structures and Skills
▪ Grow Agriculture Insurance to 20% of the Portfolio	▪ Agreements with Garages & Spare Parts Shops on prices	▪ Digitize distribution channels (web portal and USSD)	▪ Establish a robust BOD with governance & insurance knowledge
▪ Grow Fire Insurance to 17% of the Portfolio	▪ Prompt investigations on claims	▪ Set up of an ERM and fully functioning Risk Unit	▪ Design development plan for key personnel
▪ Grow Engineering to 10% of the Portfolio	▪ Outsource skilled Loss Assessors to mitigate valuation risk	▪ Risk surveys for big risks	▪ Support professional training
▪ 85% Retention of Customers	▪ Maintain 30% ratio of operating costs	▪ Determine Risk Appetite framework	▪ Fast Track teams with a long-term orientation
▪ Grow Banc-assurance Revenue to at least 30% of the book	▪ Automate process	▪ Own risk registers & train risk Champions.	▪ Empower key personnel
▪ Train 30 Underwriting Agents			

Foundational Issues

- **Distribution Channels: Brokers and Bank-Assurance**
- **Systems, Processes, and Communication**
- **People**

BK Capital Strategy Plan

BK Capital's mission is to serve as a trusted partner to its clients by responsibly providing financial services and advisory to its clients' finances

Vision	To be the most trusted financial partner offering Innovative financial solutions				
Overall Aspirations	**Placing product offerings in the best possible position to increase market share and drive revenue**	**Build strong relationships with customers and deliver customer experiences that lead to long-term loyalty.**	**Gain a competitive advantage by understanding customers better and deliver personalized experiences**	**Use of technology to streamline and optimize business processes creating efficiency, accuracy and enhanced customer experience**	**A culture that values and promotes innovation as a core component of the organization's strategy and success**
Themes	Development of products that sell	Assertive customer-oriented sales force	Decisions based on customer data	Automation of processes	Innovative culture/ Employer of Choice
Theme Aspirations	▪ Launch LCY High Yield Money Market Fund ▪ Launch Private Debt Fund ▪ BK Capital to become a member of the International Valuation Standard Council, an independent global standard setter for the valuation profession	▪ Implementation of customer relationship management (CRM system and sales force automation ▪ Partnership with Fintechs ▪ Increase the number of investment ambassador and distribution agents ▪ Improve lead generation process	▪ Consolidate and automate the business dashboard by implementing Power BI for business reporting through connection with existing systems ▪ Brand tracking through annual customer surveys and monitoring social media analytics	▪ Complete migration to more integration-friendly systems for all business lines to create new customer solutions ▪ Develop a client web portal to have basic self-service for clients such as sale and purchase requests, client statements, retirement and investment calculators, etc ▪ Automate compliance checks and reporting processes	▪ Introduction of competency assessments as part of bi-annual review understand culture and employee engagement ▪ Undertake organizational health assessment ▪ Establish an investment banking academy ▪ Implementation of Oracle Human Capital Management System
Foundational Issues	Strategic Partnerships		Systems & Processes		People

BK TecHouse Strategy Plan

The 3 years strategy vision is "Creating innovative and digital solutions that bring value to BK Group Plc."

Vision: Create innovative digital and Fintech that bring value to BK Group Plc.

Overall Aspirations

- **Scale up existing systems & innovate new systems to increase digital users up to 3,500,000**
- **Improve the company profitability through the Big Data and Fintech Business with a positive EBITDA starting from 2025**
- **Enhance governance and internal control systems**

Themes

Innovative Digital Platforms	Growth Path	Meet the operational best practices
Agriculture & Education ▪ Expand core AgriTech and EduTech with new capabilities to enable BK Group to create business opportunity through digital products & services; Payments • Scale universal payment gateway offerings to new market segments Services & Manufacturing ▪ Create new MIS solutions to drive user acquisition and enable BK Group to create business opportunity through digital products & services;	FinTech ▪ Create Fintech capabilities that enables BK Group to leverage existing data to offer financial products & services; Big Data ▪ Design Big Data Business Module and start monetizing developed Digital Platforms through below digital products portfolio: – Data as a Service (Data Access, Data Analytics etc.) – Credit Scoring Models to enable digital financial services Profitability ▪ Maximize profitability and cash flow while maintaining annual business growth to 20% - 25%	▪ Internal control system via ISO 27001 and 9001 certified standards ▪ Clear KPI management framework Strong & Implement the Performance management Framework ▪ Efficiency in cost management

Theme Aspirations

Foundational Issues

- **Public Private Partnership with RAB & NAEB**
- **Impact of the new Data Protection Regulatory and Policy on the Big Data strategy**
- **Strong operational structure**

BK Group Digital 1H updates powered by BK TecHouse

TECHOUSE
POWERING INNOVATION

Phase 1

AGUKA FUND
BANK OF KIGALI Financially transforming lives
UrubutoPay

Aguka Investment Fund (USSD)

- ✓ More than 5,000 user interaction and 122,000,000 RWF Collected.

BK Bank-Merchant Pay

- ✓ Available on BK APP, USSD live since August undergoing pilot.

Urubuto Parent Loan - BK Bank

- ✓ Access to loans for Parents. This has been delivered and is live since August 2024

Phase 2

BK Capital making more possible
BK Insurance Safeguarding Your Wealth

BK Capital Investment Fund Web Portal

Products: Aguka, Tekana, Bonds and Shares

- ✓ Investor (Customer) Portal complete
- ✓ BRD Sustainability linked bond application is completed.

Third party Insurance Digitalization

On Hold

BK Foundation Strategy Plan

A philanthropic Foundation aimed at effectively supporting the communities through initiatives that align with BK Group's overall mission and corporate goals.

Vision

Positively transform the lives of all Rwandans, positioning Rwanda for a prosperous future

Overall Aspirations

The BK Foundation provides grant funding to charity organizations to help them achieve measurable impact for the empowerment of the Rwandan people.

Themes

Education	Innovation	Environmental Conservation

Theme Aspirations

Education

- Early Childhood Development Centers
- Financial literacy training in high schools to Financial Literacy Programs
- Technical & Vocation skills training courses
- STEM – science, technology, engineering, math

Innovation

- Local Entrepreneurs
- FinTech Disruption
- Start-up Business Pitch Competition

Environmental Conservation

- Waste Management
- Pollution management / Natural resource management
- Greenspace in urbanization / Planting trees in rural areas
- Renewable Energy
- Conservation

Foundational Issues

Strategic Partnerships

05

ESG updates

Initiatives

BK Group ESG initiatives

01

Awareness and Training

Timeline: August 2024

Conduct Staff Champions training sessions to sensitize and raise awareness on sustainability practices

02

ESG Report production

Timeline: Q4 2024

Complete and release the Environmental, Social, and Governance (ESG) report.

03

Strategy and Development

Timeline: 2025

Develop a comprehensive sustainability strategy for the coming years.

Key ESG initiatives launched in 1H 2024 from subsidiaries

BANK OF KIGALI
Financially transforming lives

bk Foundation

BK Bank Initiatives

- ✓ Joined **United Nations Global Compact** as members to demonstrate commitment to adhere to **sustainable practices and align with global standards.**
- ✓ **Development of gender policy**, to be completed by October 2024
- ✓ Signed **€100 million sustainable agriculture financing loan** with European Investment Bank that will support farmers and agricultural businesses across Rwanda **to better withstand the impacts of climate change.**

BK Foundation Initiatives

ESG

- ✓ Service Provider contracted (Impact Africa)
- ✓ Identification of ESG Champions and Trainings (August 2024)
- ✓ Inaugural Report Developed (September 2024)

Environmental Conservation Pillar

- ✓ **Tree Planting Initiative**: BK Foundation partnered with REDO to initiate a tree planting project in Kayonza District, with 20,000 trees set to be planted in September to **mitigate climate change**, **combat erosion, and promote sustainable agriculture, enhancing community resilience**.

Innovation Pillar

- ✓ **BK Urumuri Initiative**: In Q2 2024, the BK Urumuri Initiative continued to empower 25 women entrepreneurs with business development services, part of a broader effort that has supported 225 entrepreneurs.

06

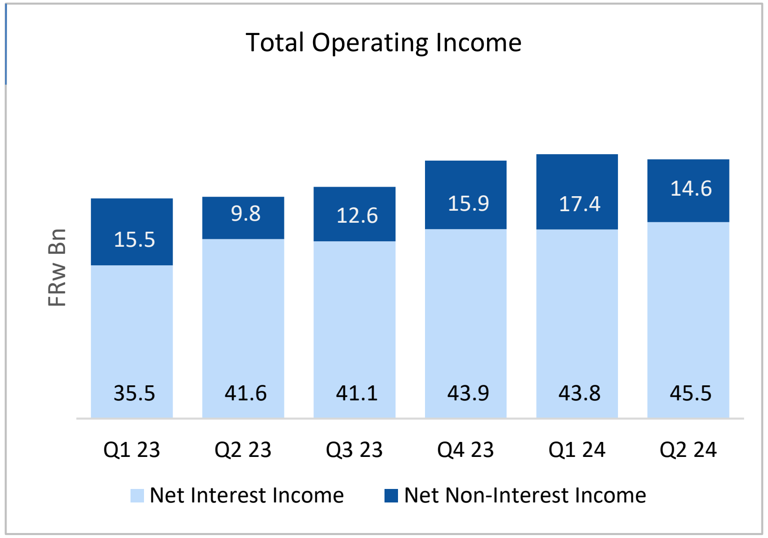
Appendix

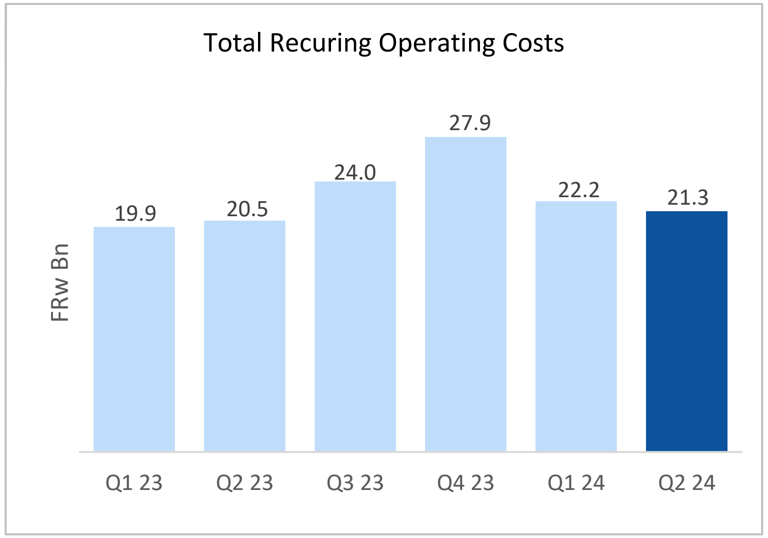
Appendix content

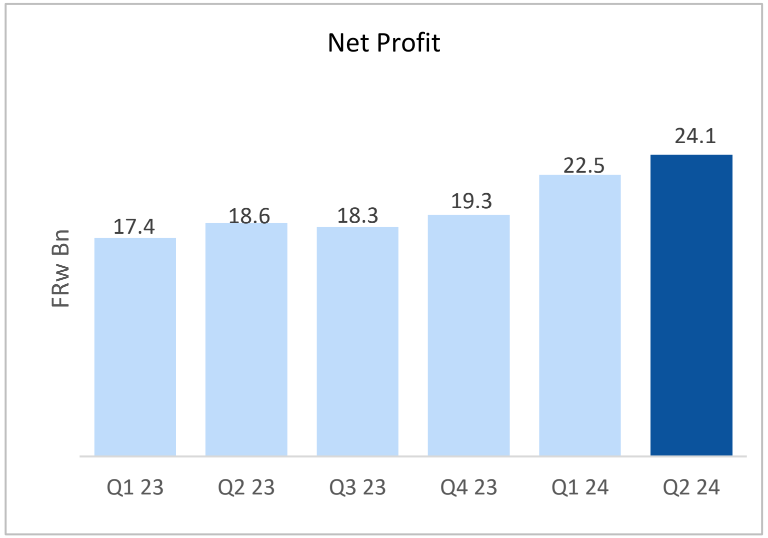
BK Financial Performance

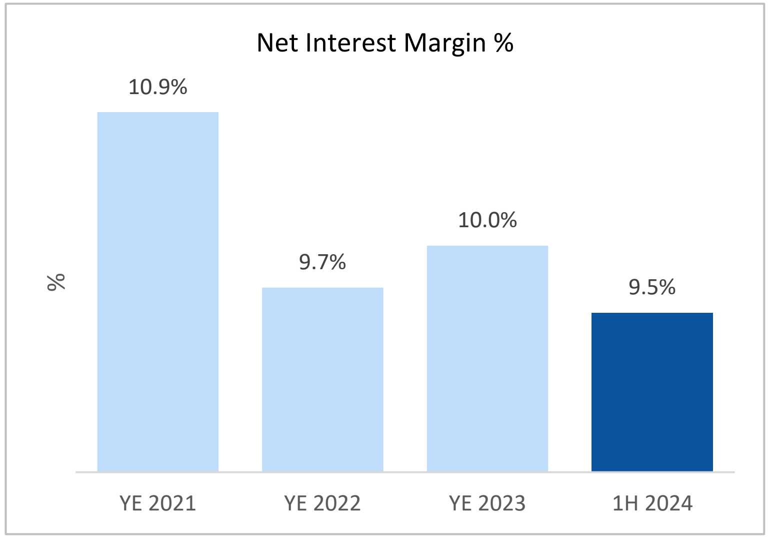
For first half 2024

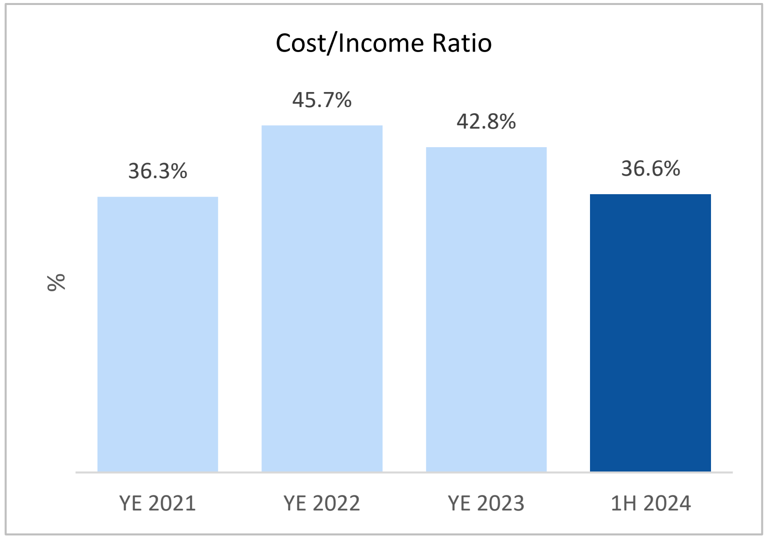
Bank of Kigali Income Statement 1H 2024

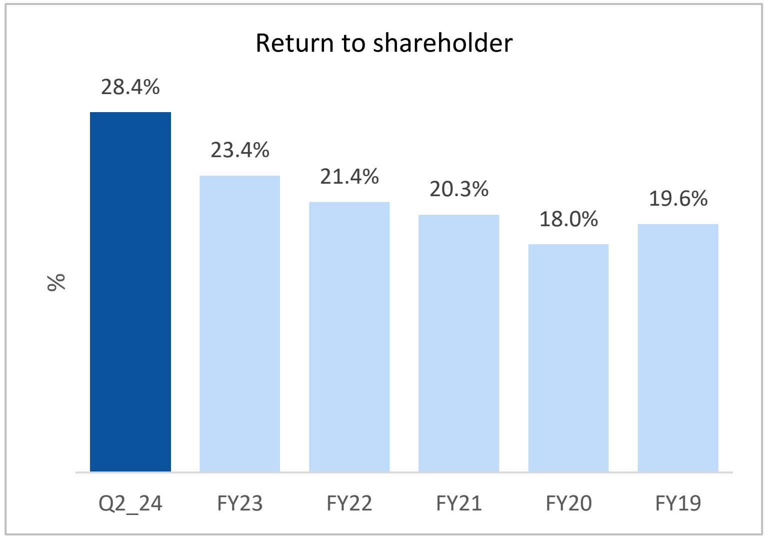






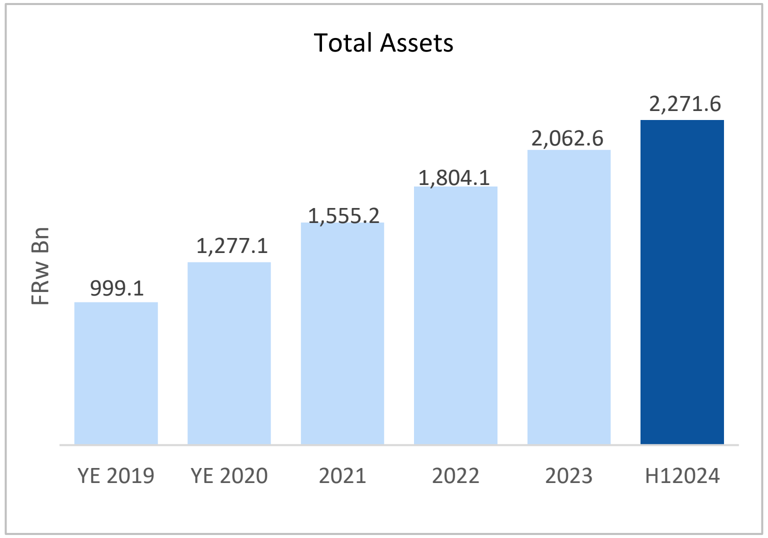


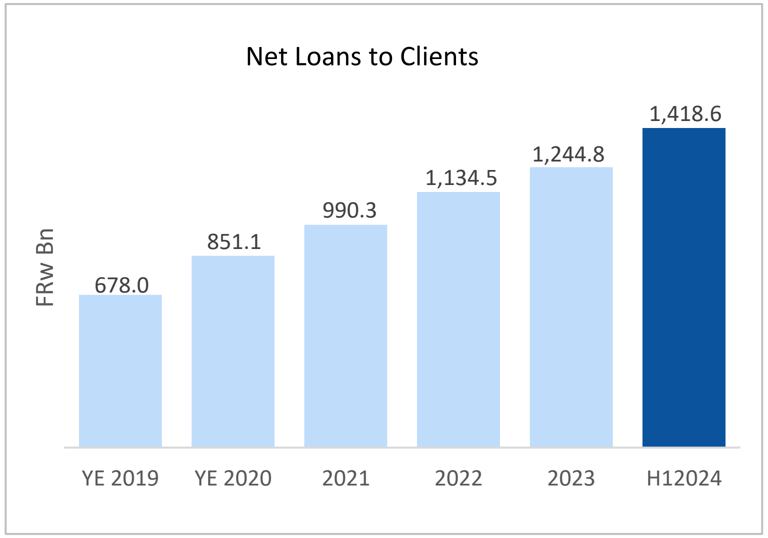


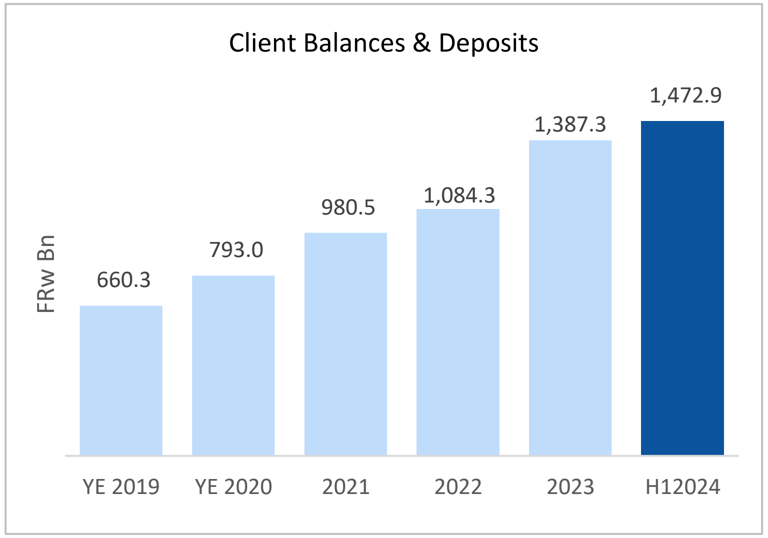


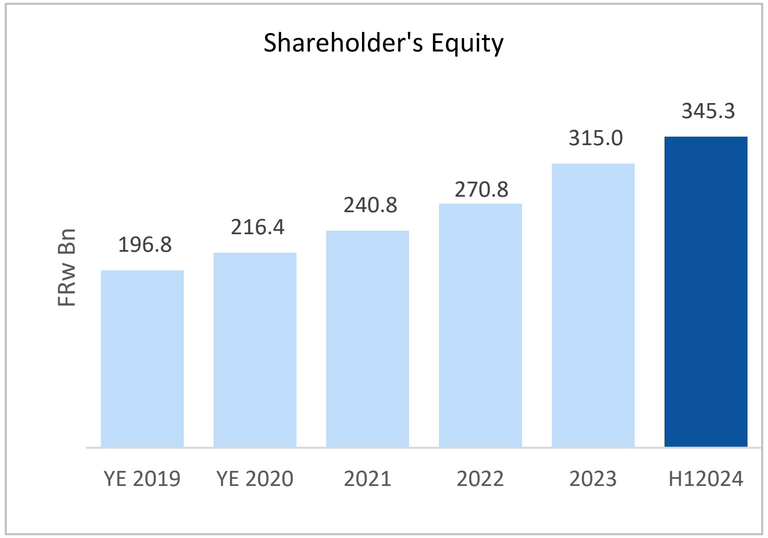
Source: 1H 2024 published financials

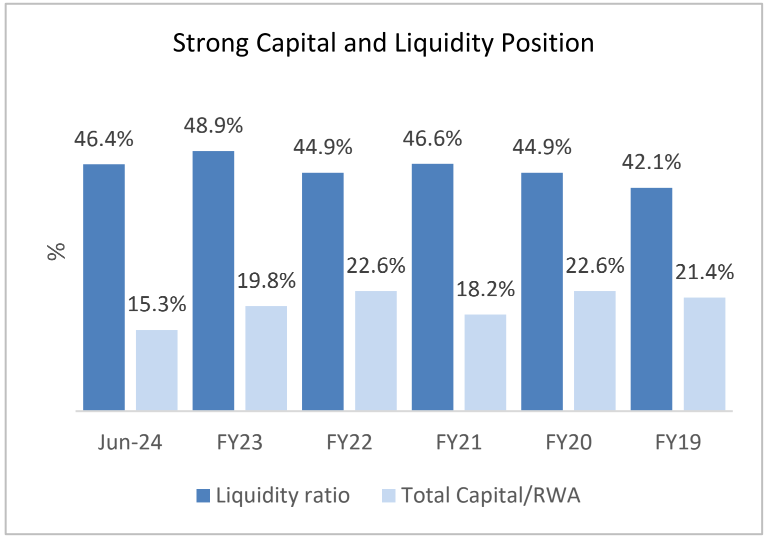
Bank of Kigali Balance Sheet 1H 2024





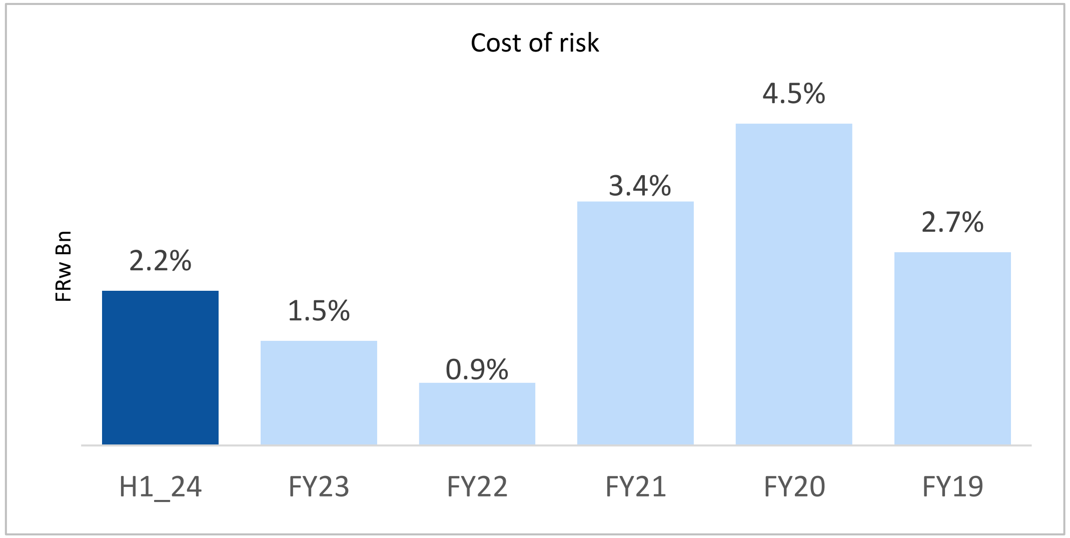


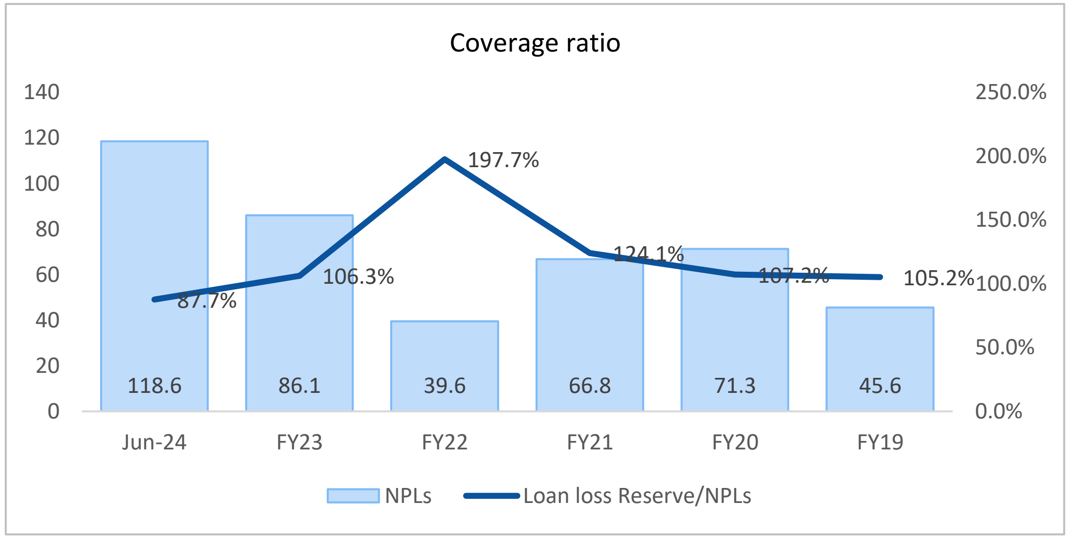


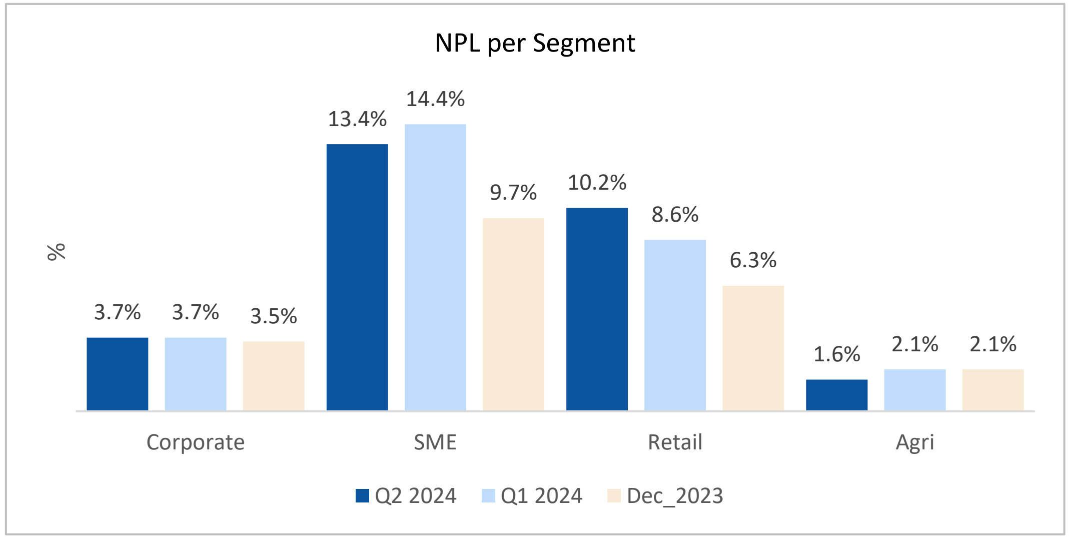


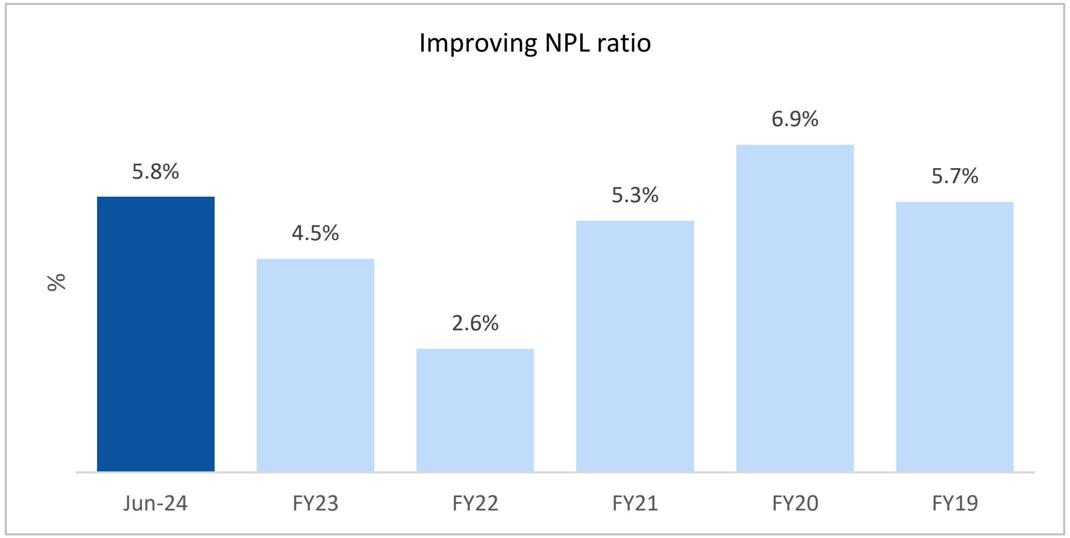
Source: 1H 2024 published financials

Bank of Kigali Credit Risk 1H 2024









Source: 1H 2024 published financials

Corporate Banking Highlights 1H 2024

launched the medical equipment financing product in partnership with **VIEBEG**

KATAZA NA BK a product for **women** was officially launched this August 2024

BK Legacy Gala Dinner to appreciate its loyal customers (relationship > 30years)

The Bank hosted a Business forum in Rusizi to expand reach and **strengthen Business ties.**

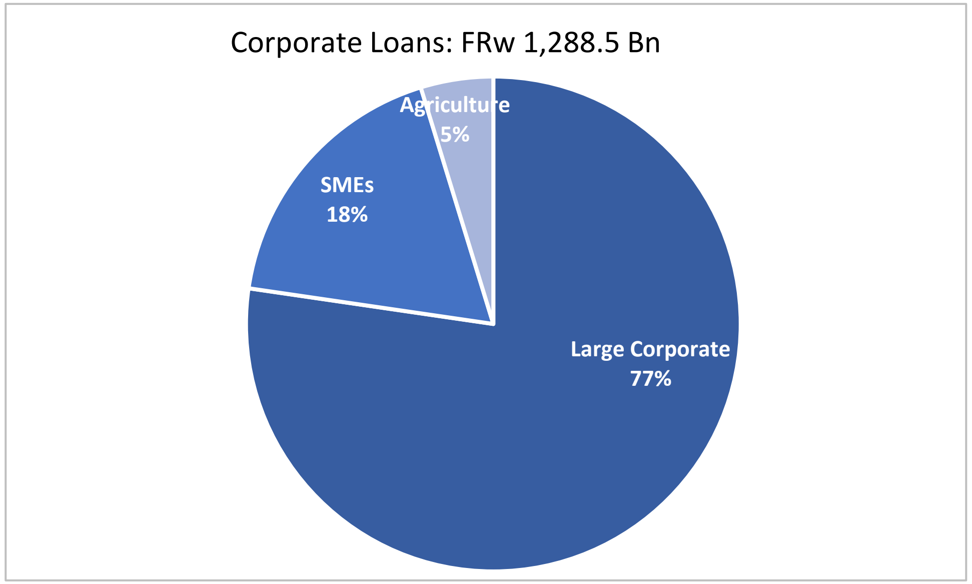
Key Products

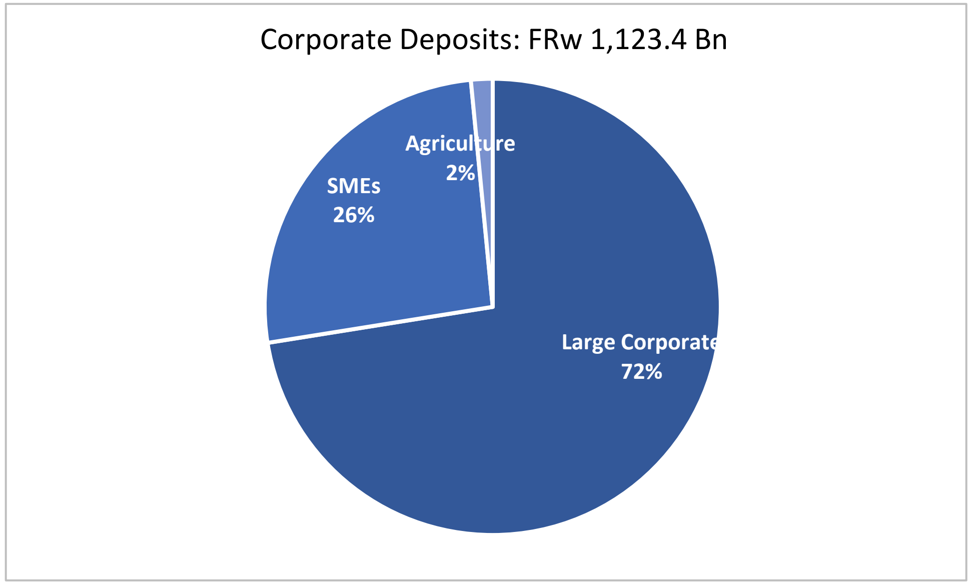
- CAPEX loans: long-term loans for investment or expansion of the business
- Commercial mortgage loans
- Working capital loans
- Cash credit lines, Letters of credit etc

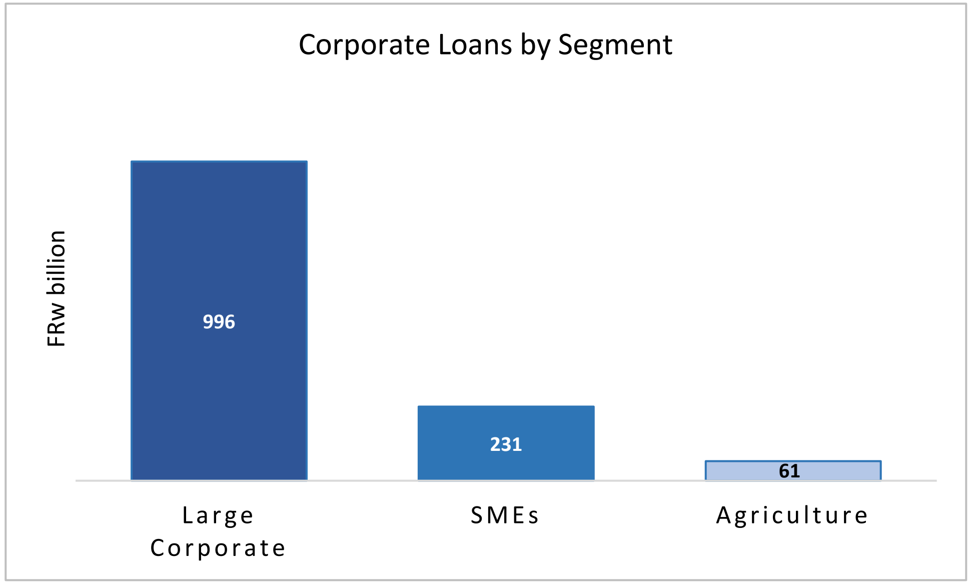
Strategy

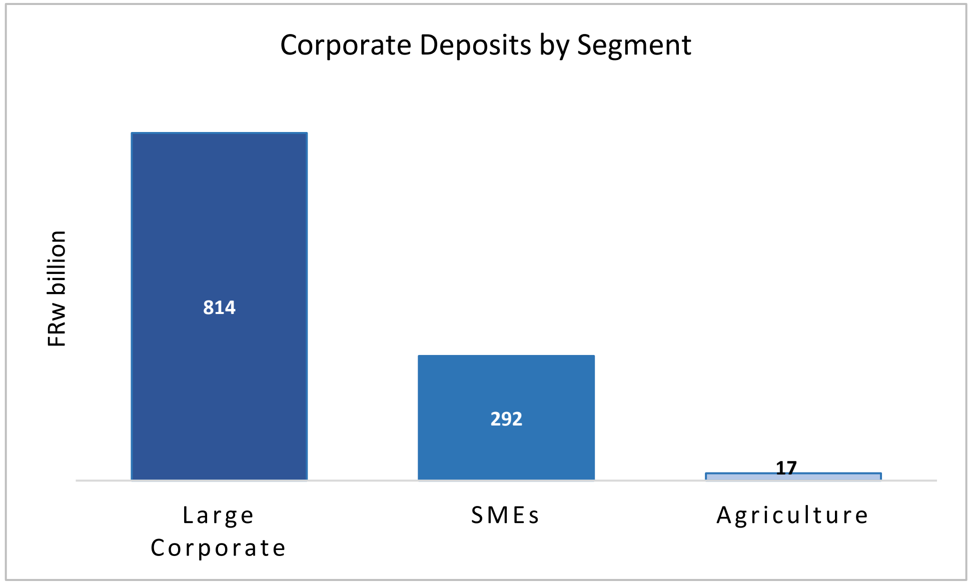
- ✓ Strategic Partnerships
- ✓ Onboarding of selected Value Chains
- ✓ Targeted product campaign to cross-sell and raise deposits
- ✓ Automation of processes to improve customer experience
- ✓ Introduce new services, revamp products, and integration with clients
- ✓ Enhance digital experience of customers on the Bank's platform
- ✓ Leverage superior lending capacity and the knowledge of the local Market

Corporate Highlights 1H 2024









Retail Banking Highlights

Key Products

- ✓ Mortgage loan
- ✓ Home Equity Loan
- ✓ Vehicle loan
- ✓ Consumer loan
- ✓ Overdraft
- ✓ BK Quick loans.
- ✓ Other products include credit cards and asset-based financing

Strategy

- ✓ Expand Our Self-Service Products
- ✓ Growing Our Distribution Network (Increase of Agents, Mobile Branches, Electronic Channels…)
- ✓ Instant issuing of credit/debit cards
- ✓ **BKQUICK**, has been able to tap into the retail market competitively thus increasing loans and deposits in the segment.

Self-service offering:

BK Yacu – Bank wherever you are
BKquick – For your convenience
bk money – Send and Receive Now

Retail Banking Highlights

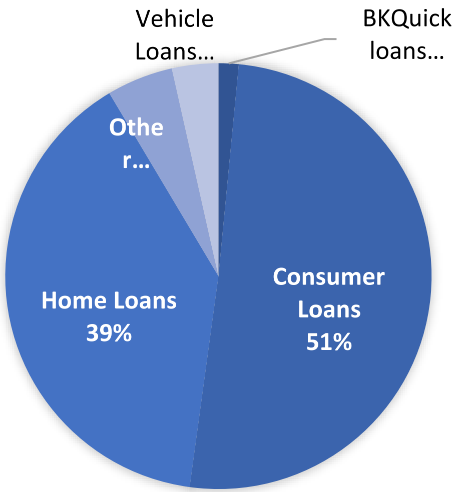
Agents are able to perform cash in and cash out transactions, open customer accounts as well as send and receive money.

Self-Service Products: **BK Mobile** (USSD code) or **BK App** allows customers to perform different transactions

E-Commerce acquiring was launched

Nanjye ni BK campaign to acquire customers.

Retail Loans: FRw 242.3 billion



No.

Branches	67	ATMs	103
POS	2,790	Agents	4,944
Customers	430,878	Cards	151,370
E-Commerce Merchant	59		

Bank of Kigali Management Targets 1H Update

	Outlook 2024	1H 2024
Loan Growth	>18.3%	14.0%
Deposit Growth	>23.6%	34.5%
Net interest Margin	>9.1%	9.5%
Non Funded Income	>26.4%	26.4%
Cost to Income Ratio	<40.7%	35.9%
Return on Equity	>25.1%	28.0%
Return on Assets	>3.9%	4.3%
Cost of Risk	< 1.8%	2.1%
NPLs	<3.8%	5.7%

Source: 1H 2024 published financials

BK GROUP PLC

Market Share Analysis

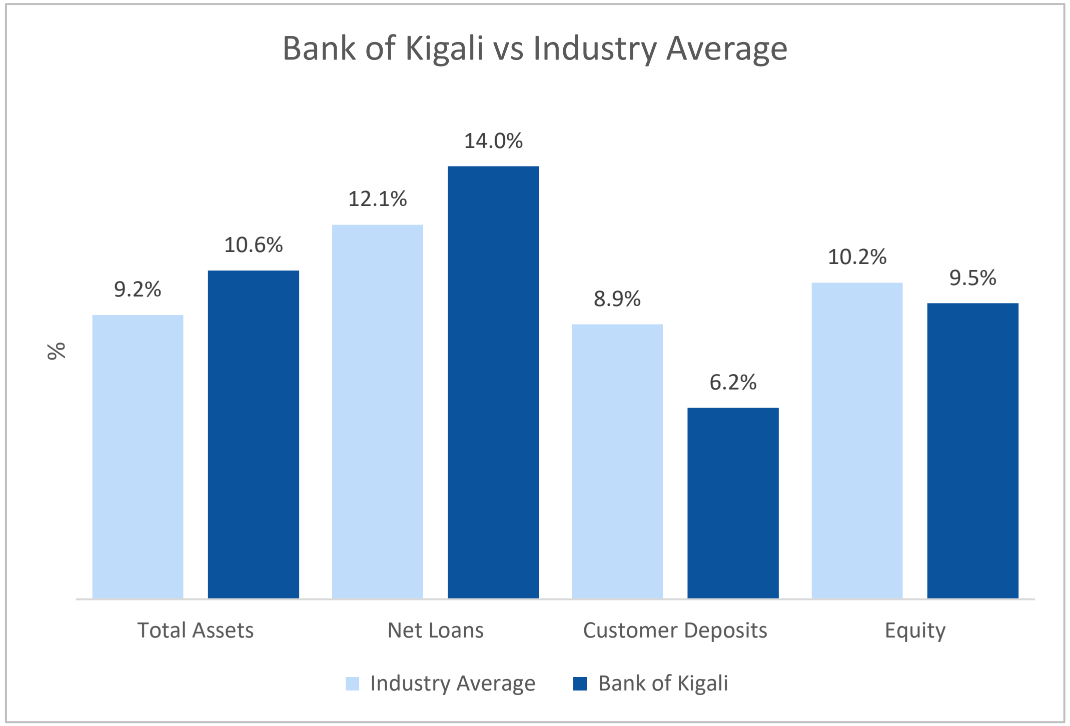
For first half 2024

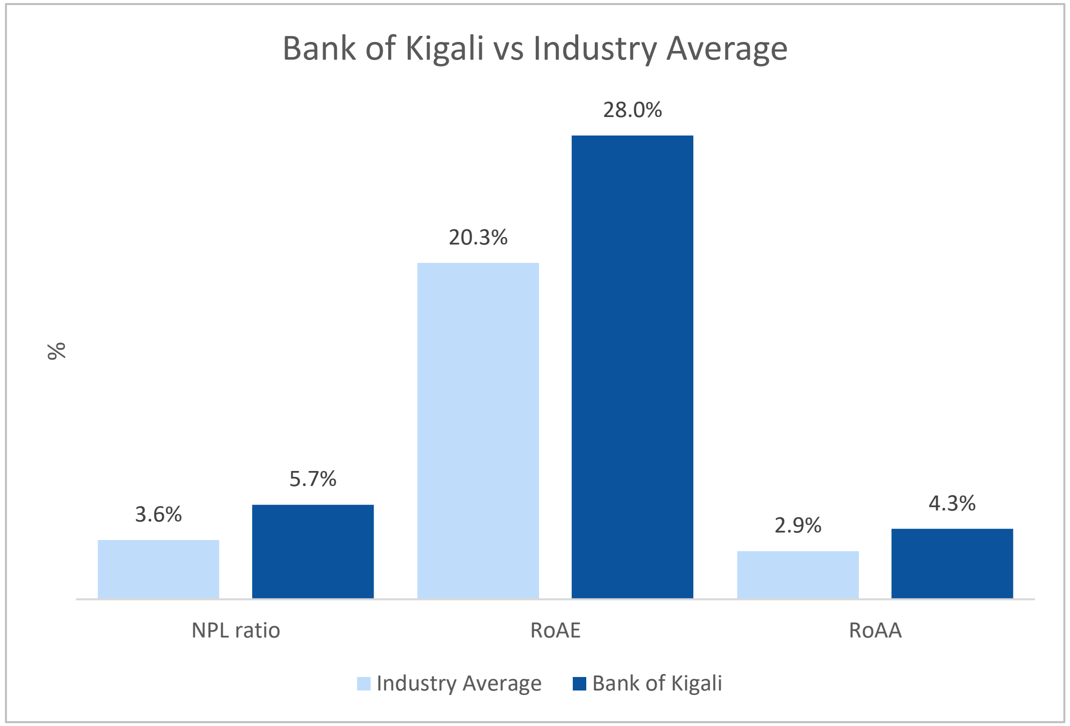
Top Banks in Rwanda

Entity	Total Assets		Net Loans		Customer Deposits		Equity	
	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank	% Market Share	Rank
bk	**36.3%**	**1**	**43.5%**	**1**	**34.5%**	**1**	**37.7%**	**1**
EQUITY Bank	17.4%	2	14.2%	3	17.4%	2	17.5%	2
bpr BANK	15.5%	3	20.2%	2	15.8%	3	17.3%	3
I&M	12.4%	4	10.8%	4	12.2%	4	9.3%	4
Ecobank The Pan African Bank	5.9%	5	2.1%	7	7.2%	5	4.9%	5
access	3.8%	6	2.0%	8	4.6%	6	3.8%	6
NCBA	3.5%	7	3.5%	5	2.7%	8	3.5%	7
BANK OF AFRICA Groupe BMCE BANK	2.8%	8	2.6%	6	2.8%	7	2.5%	9
GTBank	2.5%	9	1.1%	9	2.7%	9	3.5%	8

Source: 1H 2024 Published financials

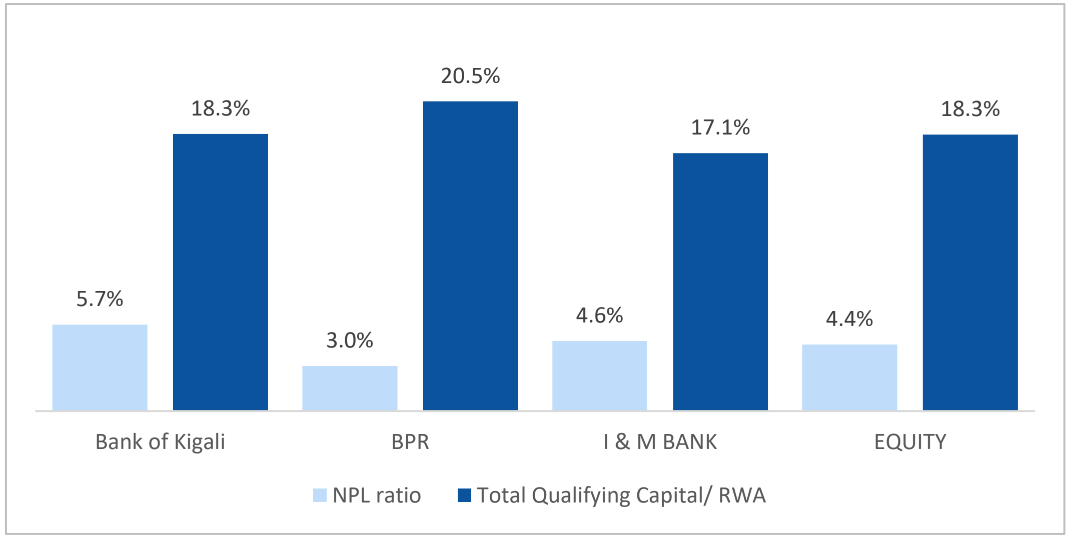
Market Share Dynamics

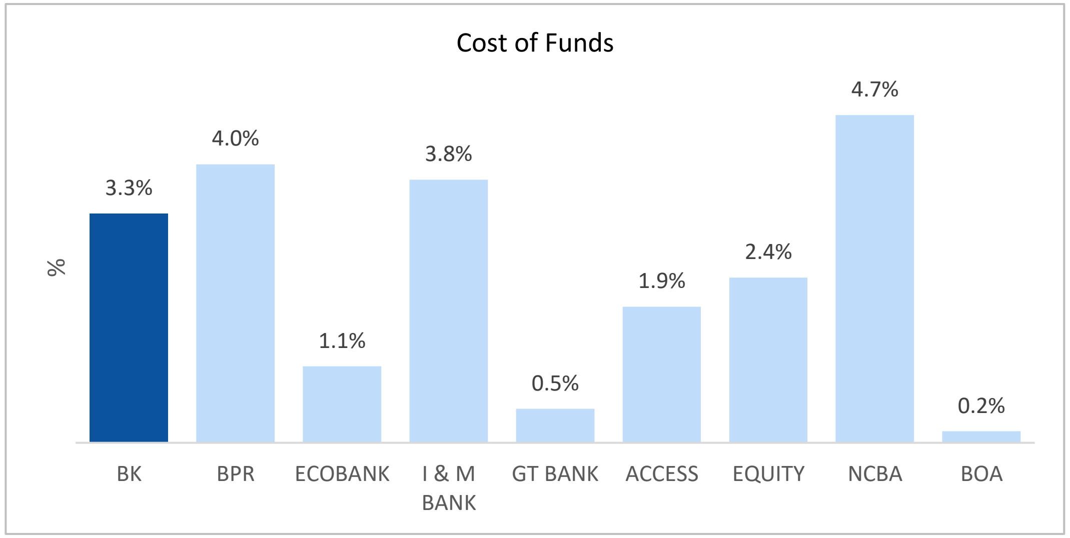


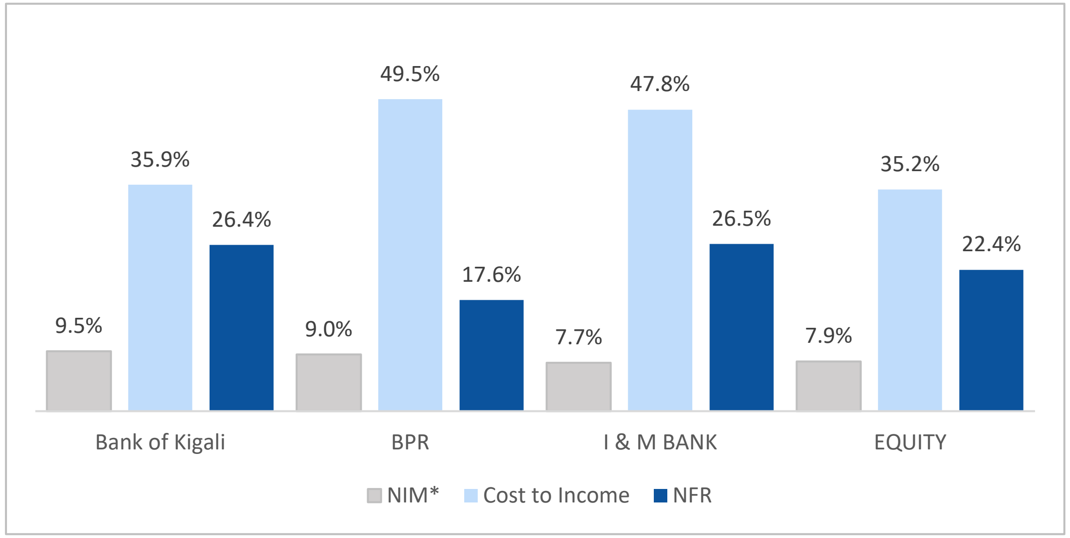


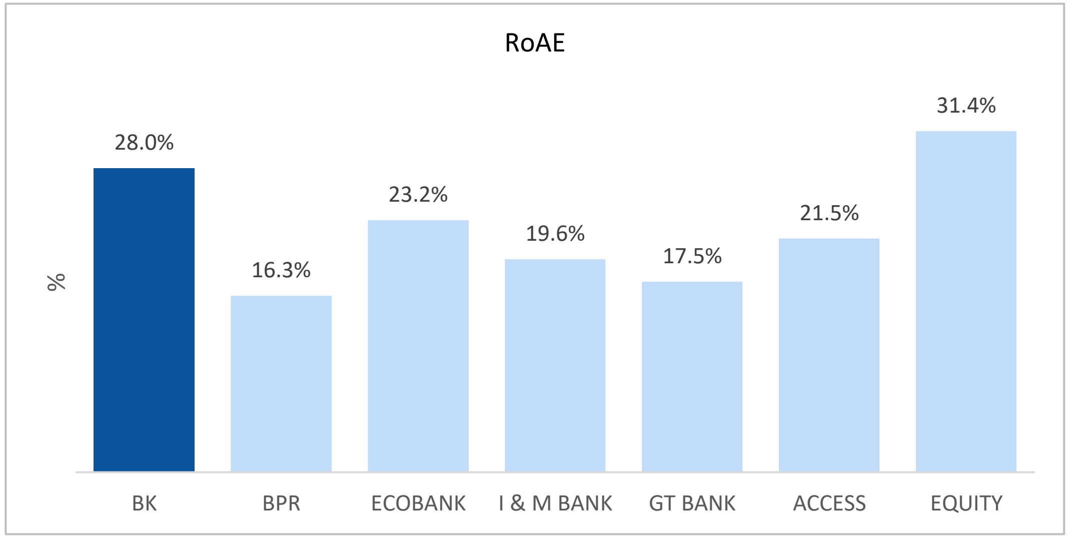
Source: BNR, 1H 2024 published financials

Banking Landscape in Rwanda









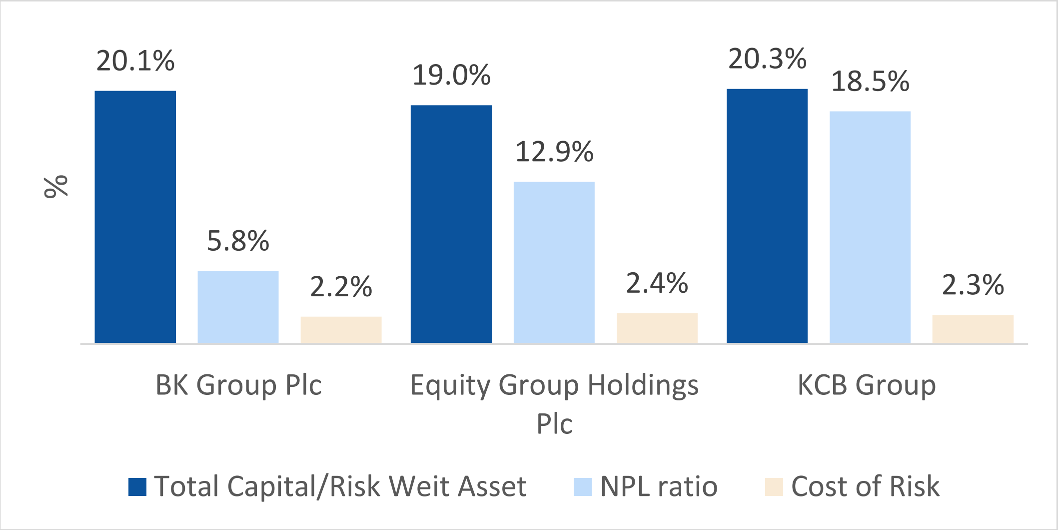
Source: 1H 2024 published financials

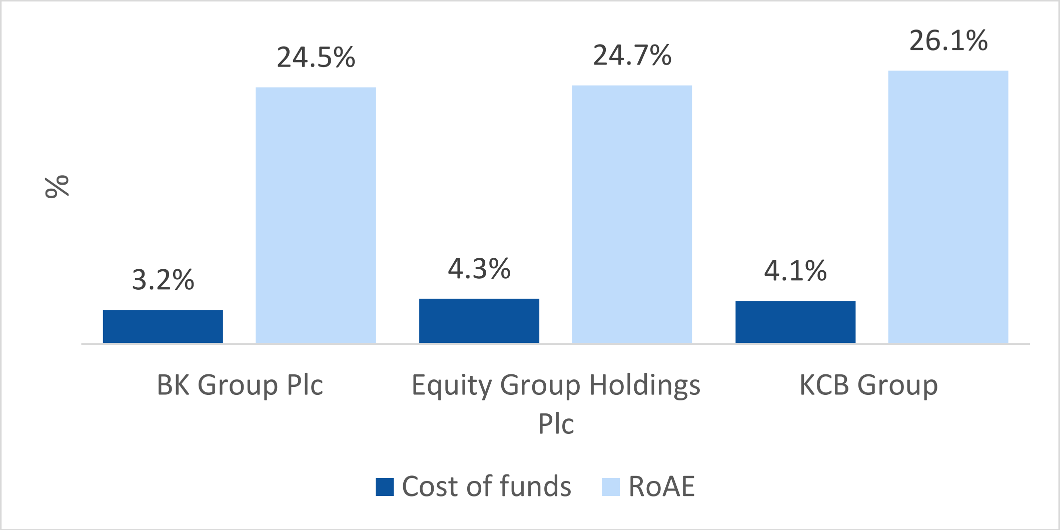
BK insurance: Key Prudential Ratios

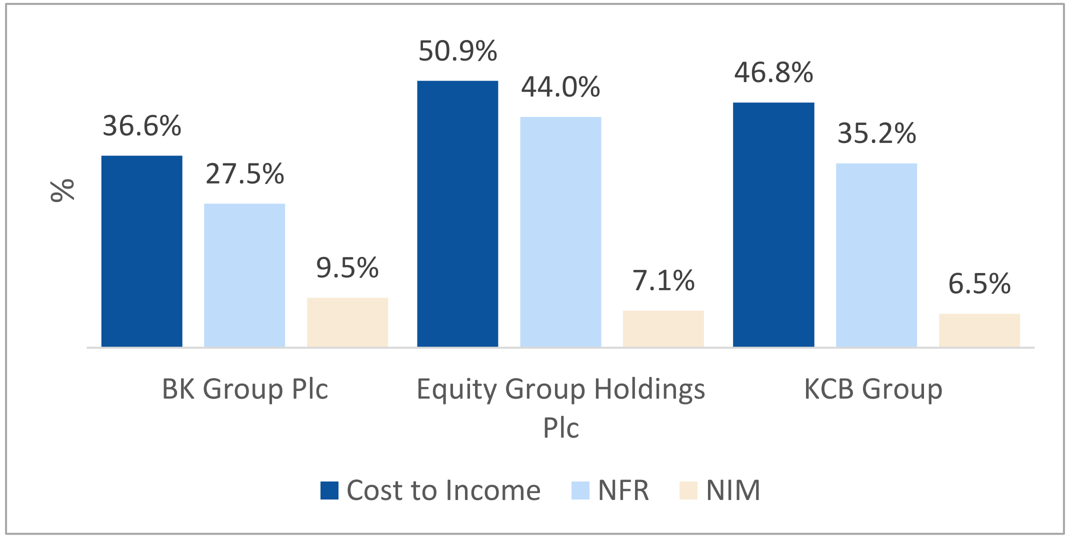
Key Prudential Ratio	Dec-23	June -2023	June-24	Regulatory Benchmark	Observations
Claims Ratio	42%	37%	39%	<65%	Compliant
Expense Ratio	36%	29%	30%	<30%	Compliant
Combined Ratio	78%	66%	69%	<95%	Compliant
Return on Equity	22%	24%	26%	>6%	Compliant
Return on Assets	12%	13%	14%	>4%	Compliant
Liquid(Quick ratio)	142%	138%	141%	>100%	Compliant
Solvency Margin Ratio	502%	482%	327%	>100%	Compliant
RBC	188%	208%	157%	>130%	Compliant

- ✓ **Expense ratio**. It's 30% against 30% at the required benchmark.
- ✓ **Return on Equity (ROE).** It's **26%** against 6% regulated.
- ✓ **Return on assets (ROA).** It's **14%** against 4% regulated.
- ✓ **Liquidity ratio**. It's **141%** greater than 100% regulated quick ratio.
- ✓ **Claims ratio** compares net claims incurred with net premiums earned. It's **39% less** than the regulated 65%.
- ✓ **Solvency margin** is at 327%
- ✓ **RBC** compares capital available against the capital required. As of 30 June 2024, this ratio is at **157%** far greater than the required of 130%.

Listed companies in Kenya







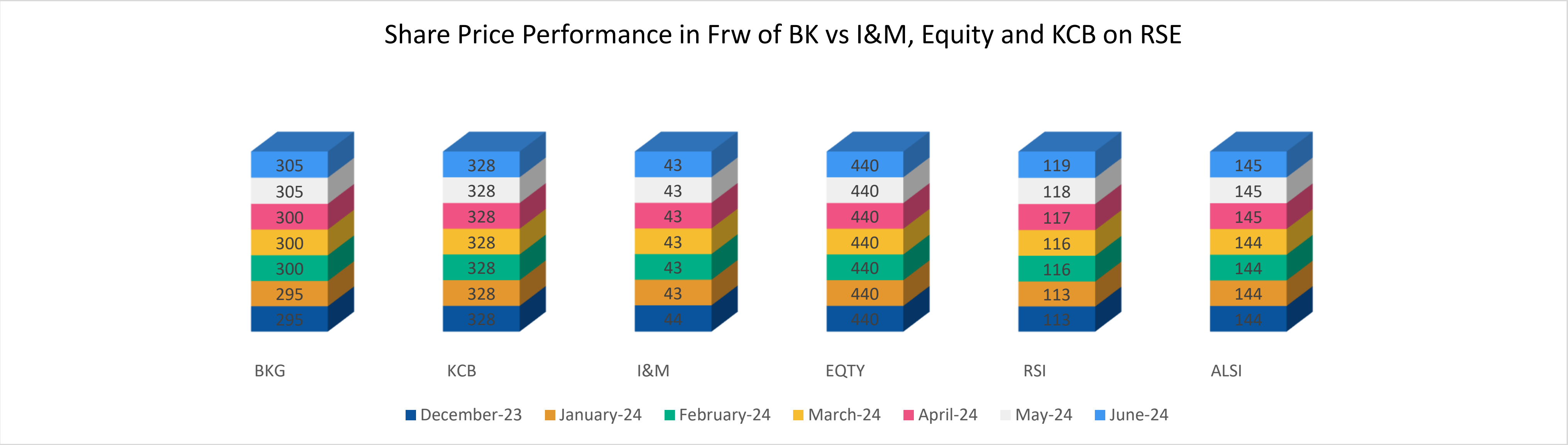
Source: 1H published financials

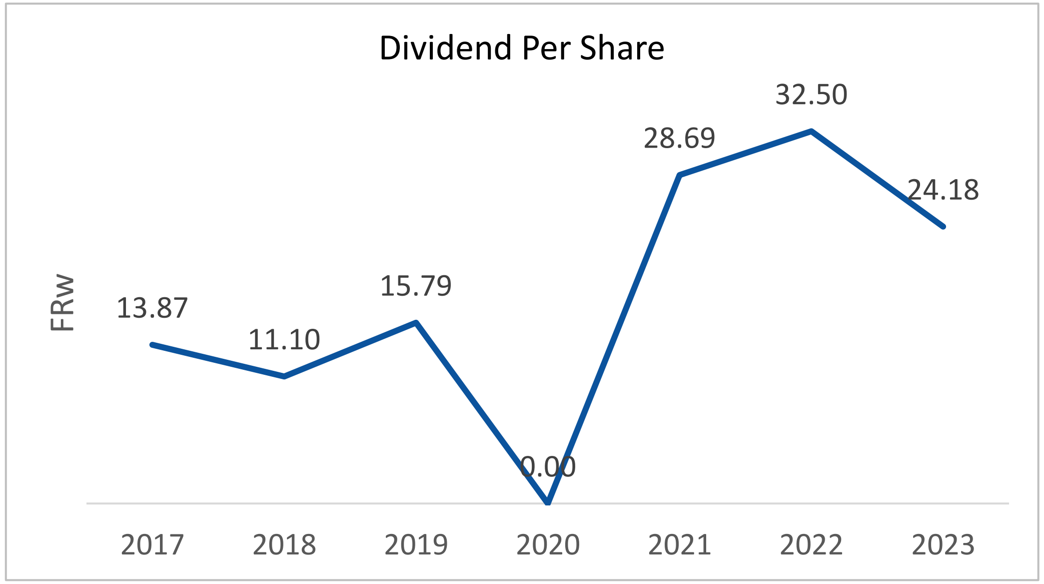
BK GROUP PLC

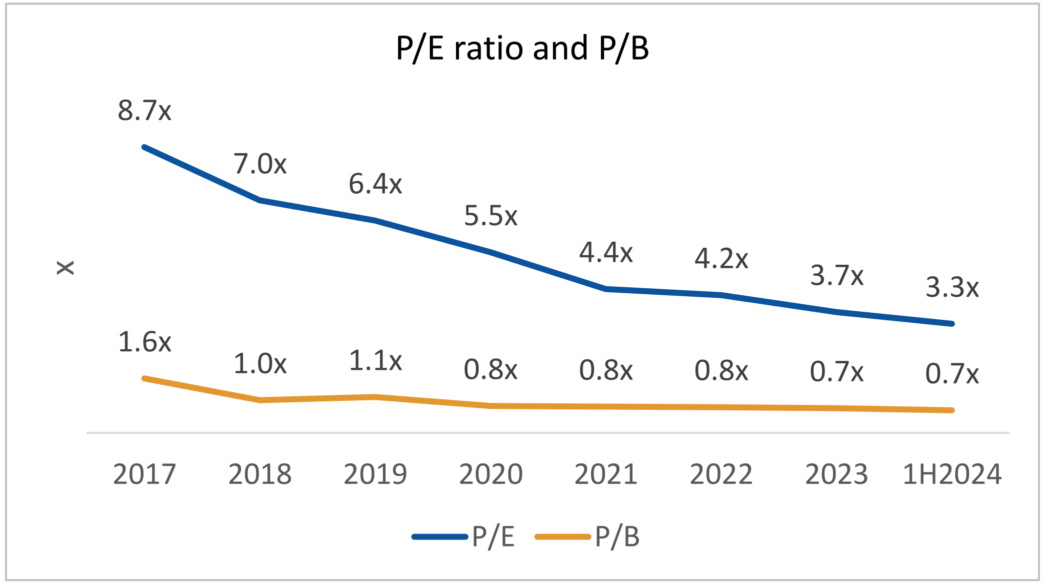
Share performance

For first half 2024

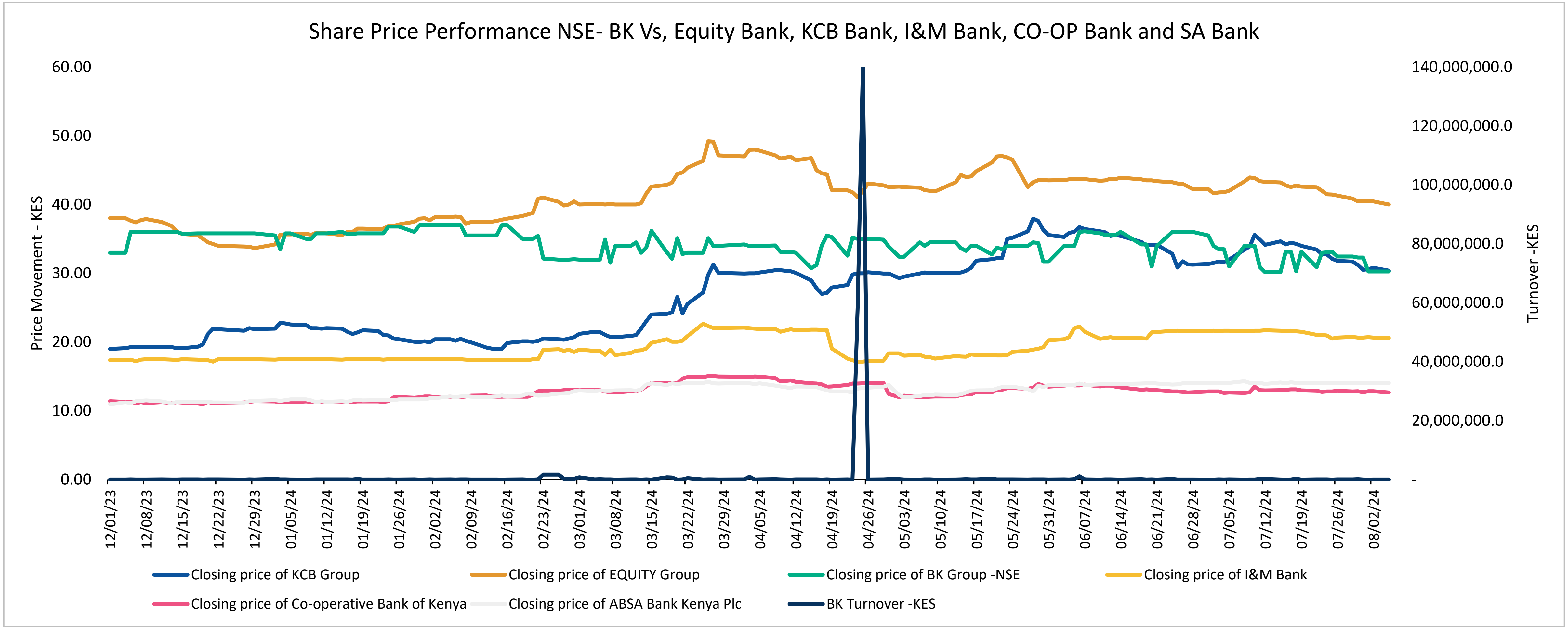
Share Price Performance FRw - Rwanda





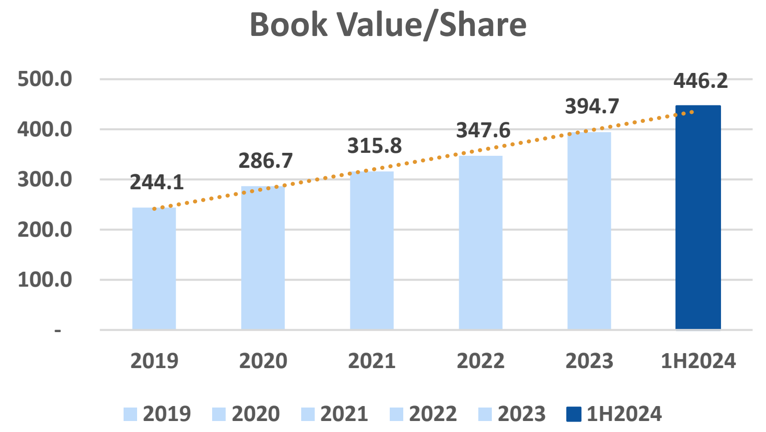


Share Price Performance KeS - Kenya



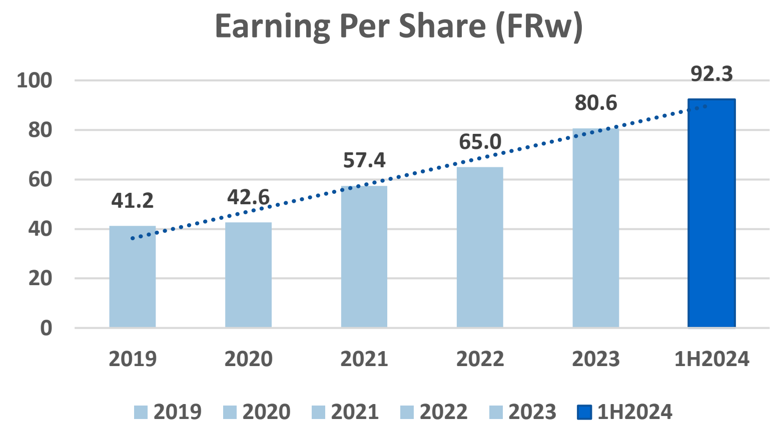
Share Trading Performance

	RSE	NSE
FRw 305 / KES 36.0 Q2 2024 Current Price	**$215.9 m** Market Cap[1]	**$31.6m** Market Cap[2]
928.2 million shares Common shares outstanding	**3.3x** P/E 1H 2024	**2.8x** **P/E Q1 2024**
7.9% Dividend yield, 1H 2024	**0.7x** P/BV 1H 2024	**0.71x** P/BV Q1 2024
FRw 120.9/ KES 12.2 EPS 1H 2024	**FRw 305 / KES 37.0** 12-month high	**FRw 292 / KES 29.65** 12-month low



Analyst Coverage

EFG HERMES	NCBA	bk Capital
Recommendation: **BUY** Target Price: **FRw 572** Last coverage report: 31st May, 2024	Recommendation: **BUY** Target Price: **KES 46.8** Last coverage report: Feb 29th, 2024	Recommendation: **BUY** Target Price: **FRw 435** Last coverage report: Jun 25th, 2024



1. Rwandan Franc (FRw) 1,311.1 FRw = 1 US$ as at June 28th , 2024
2. Kenya Shilling (KES) 129.5 KES = 1 US$ as at June 28th 2024

Capital gains on RSE transactions are exempted from Capital Gains Tax

CONTACT INFORMATION

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